Status Report

Katalyst Software Services Limited

Background:

Katalyst Software Services Limited (**Issuer/Company**) had issued unlisted, secured, redeemable, Non-Convertible Debentures (**NCDs**) of Rs. 1 (face value) under ISIN INE463Y07027 (On restructuring INE463Y07019) aggregating to Rs. 75 Crore (Rupees Seventy-Five Crore Only) on a private placement basis.

Note: *The NCDs are not listed on Stock Exchange and hence the SEBI Regulations and SEBI investor grievance mechanisms are not applicable for the same. Debenture Trustee, as good governance practice for the information of Debenture Holders at large, this report is placed on the website, which will be updated from time to time even though same is not mandatory.*

As per PAS-4, Issuer offered the following securities:

1. 26% equity shares of Issuer held by Mr. Rahul Shah **2**.
2. 100 % shares of Nova Techset Pvt. Ltd. held by Issuer
3. Existing & future receivables of Issuer & Nova Techset Pvt. Ltd.
4. Escrow of revenue of Issuer & Nova Techset Pvt. Ltd.
5. Interest Service Reserve for interest payment and Debt Service Reserve Account for an amount equivalent to principal due for one year.

Issuer executed a Debenture Trust Agreement & Debenture Trust Deed (DTD) on 7.8.2017 in favor of Milestone Trusteeship Pvt. Ltd and Debenture Trustee. Also, Issuer has executed necessary security documents.

Till July 2021, repayment by Issuer was regular; however from August 2021, there had been constant irregularity in repayment and there was a breach of terms

of the said DTDs. Therefore, Milestone Trusteeship Pvt. Ltd issued a notice to Issuer on 13.1.2022 and declared "Event of Default" by the Issuer and recalled the entire outstanding amount of debt from Issuer.

03.02.2022

On failure of Issuer to repay the outstanding debt, Milestone Trusteeship Pvt. Ltd & Debenture Holder Representative (KARVY) issued Notices to Issuer, Nova Techset and one of the Directors of Issuer viz. Mr. Rahul Shah on 3.2.2022 for Invocation of pledged shares.

04.02.2022

On 4.2.2022, Milestone Trusteeship Pvt. Ltd (Debenture Trustee) invoked the pledged shares and transferred to its Demat account.

14.02.2022

Thereafter, on 14.2.2022 Mr. Rahul Shah filed a commercial suit bearing no. 108 of 2022 in the High Court of Delhi against Catalyst Trusteeship Ltd & Karvy, for declaration & permanent injunction in respect of pledged shares, created vide Share Pledge Agreement dated 8.8.2017 executed by Mr. Rahul Shah in favour of Debenture Trustee.

17.02.2022

On 17.2.2022, Milestone Trusteeship Pvt. Ltd conveyed Nova Techset of invocation of 100% shares, invoked on 4.2.2022.

23.05.2022

On 23.5.2022, Milestone Trusteeship Pvt. Ltd merged with Catalyst Trusteeship Ltd. Hence further actions are being taken by Catalyst as DT as per instructions of Debenture holders.

22.4.2023

Owing to the payment default committed by the Issuer, Issuer offered restructuring of the repayment schedule for the remaining period of redemption of NCDs and entered into Third Amended Debenture Trust Deed on 22.4.2023 with the Trustee and thereby restructured the repayment schedule forthwith accordingly.

02.01.2026

Karvy Capital Ltd. (Debenture Trust Representative) representing around 70% of the debt, vide email dated 02.01.2026, conveyed to the Debenture Trustee that payment due on 31.12.2025 is not paid by the Issuer. Catalyst has forwarded the email to Issuer Company on the same day, seeking confirmation about the payment default committed in payment of interest and principal.. The Issuer Company has failed to reply the same. Therefore, Catalyst has communicated about convening Meeting of Debenture Holders on 30.01.2026 vide email dated 09.01.2026 to all the remaining Debenture Holders for seeking instructions from them regarding further enforcement action to be taken by the Trustee.

30.1.2026

Due to technical glitch, meeting was postponed to 02.02.2026

02.02.2026

Meeting of Debenture Holders was convened; however, due to non -attainment of requisite majority, meeting had to be adjourned. Debenture Trustee apprised Holders about options for enforcement actions available with Holders. Minutes of the said meeting were shared with Debenture Holders on 16.02.2026.

20.02.2026

Debenture Trustee issued Notice for declaration of Event of Default on 20.2.2026 to Issuer Company.

26.02.2026

Karvy Capital Ltd. (Debenture Holders Representative) via mail dated 26.2.2026 communicated that there is possibility of institutional buyers purchasing NCDs from retail debenture holders. If there is any specific update in this regard, same will be communicated to DT by Karvy Capital Ltd. and Issuer Company.

Further action will be taken by DT as per instructions received from majority Debenture Holders.

Further, as mentioned in the meeting held on 02.02.2026, voting is being conducted to seek instructions on further course of action which will be concluded on 08.03.2026. Resolution & other details required for voting have been shared with debenture holders on their registered email IDs.

09.03.2026

Voting lines were closed on 08.03.2026 and voting outcome will be communicated to Debenture Holders on their registered email IDs shortly.

18.03.2026

Voting outcome has been communicated to Debenture Holders on their registered email IDs. The resolutions placed before the debenture holders included providing instructions to the Debenture Trustee to proceed with enforcement of the security and to determine the next course of action. Only a limited number of debenture holders participated in the voting process, and all votes received were in favour of initiating enforcement action; however, the aggregate voting share of the participating debenture holders constituted a minor portion of the outstanding value debentures. In accordance with the provisions of the Debenture Trust Deed, approval of the resolutions requires consent from more that 50% of the outstanding value of debentures. As this threshold was not met, the resolutions have not been approved.